

Mortgage Rate Sensitivity & Origination Analysis

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Generated: June 22, 2026

Current Market Snapshot

30-Year Fixed Rate:	6.49%
Refi Incentive Spread:	-128 bps
Model R ² :	0.593
Optimal Response Lag:	1 month(s)

Scenario: 50bps Rate Cut

Estimated Refi Volume Change:	+11.7%
95% CI Lower:	+10.9%
95% CI Upper:	+12.6%
Expected Response Lag:	~1 month(s)
Estimated New Refi Index:	1,303
Index Range:	1,293 - 1,313

Newrez / Rithm Capital Business Impact

Origination Channel:

A 50bps rate cut is estimated to increase refi origination volume by ~11.7% over ~1 month(s), driving fee income and gain-on-sale revenue.

MSR Portfolio:

Rate declines accelerate prepayments, compressing MSR portfolio value as loans pay off early. This partially offsets the origination revenue gain.

Model Details

Method: OLS regression | Observations: 436 monthly obs through 2026-06-30

Beta: -22.63 | R²: 0.593 | p-value: 0.0000 | Optimal lag: 1 month(s)

Outstanding rate proxy: 7-year rolling average of MORTGAGE30US

Data: FRED / Freddie Mac PMMS | Refi index: synthetic proxy (MBA index is paywalled)

Directional analysis only. Not investment advice.